

Multiple Choice

1. **Answer:** E

Options: A) The invention of automated systems that have made traditional farming obsolete; B) Emergence of widespread diseases that make farming untenable; C) Shift in consumer preferences towards synthetic foods; D) A global decrease in the demand for agricultural products; E) People seek the higher incomes of the city, shorter hours, and better social life in town

Note: Correct option: E - People seek the higher incomes of the city, shorter hours, and better social life in town

2. **Answer:** A

Options: A) Formulation of policies that influence the monetary base.; B) Controlling inflation; C) Directly controlling unemployment rates; D) Managing government spending and fiscal policy; E) Overseeing the stock market and financial investments

Note: Correct option: A - Formulation of policies that influence the monetary base.

3. **Answer:** A

Options: A) dollar will remain stable.; B) dollar will lose its status as a global currency.; C) inflation will rise.; D) exchange rates will rise but the value of the dollar will not be affected.; E) value of other currencies will fall.

Note: Correct option: A - dollar will remain stable.

4. **Answer:** A

Options: A) Geographic diversity of farming regions; B) Environmental concerns; C) Consumer preference for organic produce; D) Lack of funding; E) Technological advancements in agriculture

Note: Correct option: A - Geographic diversity of farming regions

5. **Answer:** A

Options: A) Historical data contradicts theory; B) Oligopolies are less common in practice than in theory; C) There is no contradiction between theory and practice; D) Historical data is insufficient to determine the efficiency of oligopolies; E) Oligopolies typically demonstrate higher innovation rates than predicted

Note: Correct option: A - Historical data contradicts theory

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Product differentiation and loss of perfect substitutability'.

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Marginal social benefit = marginal private cost + negative externality.'
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Both the price level and real GDP fall.'

Long Form Response

11. **Answer:** Multivariate. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Producer surplus is less than consumer surplus by between 50and75.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key